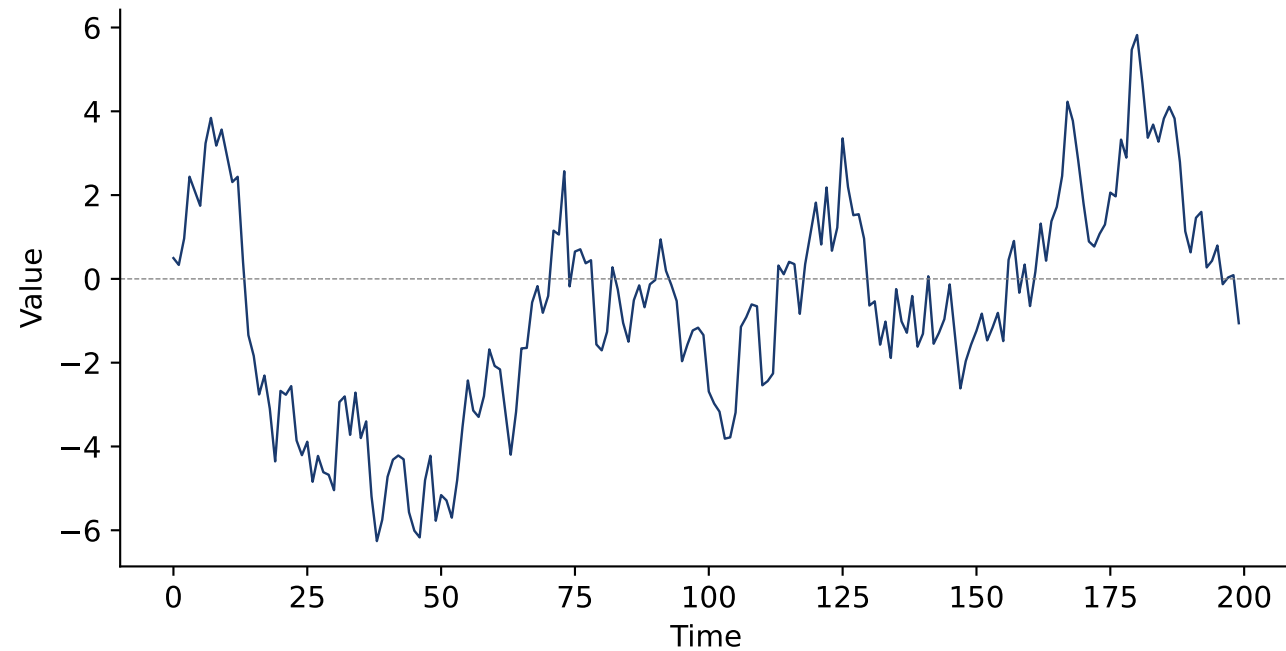
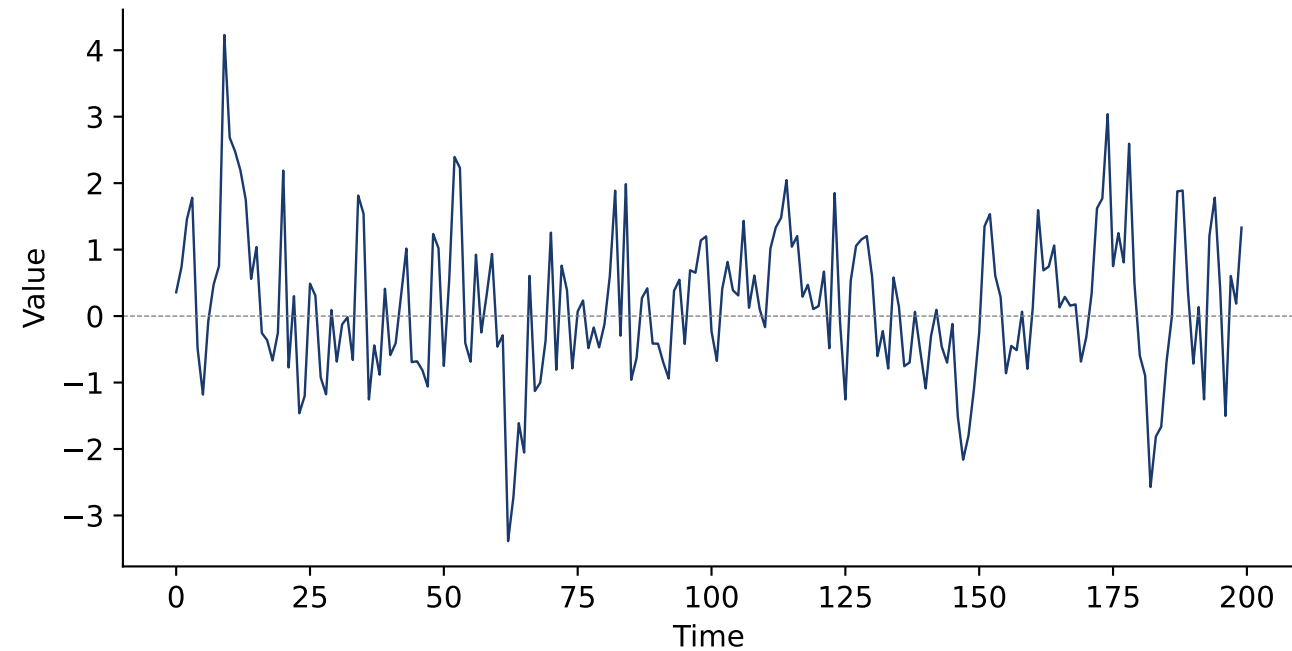


AR(1) Process Simulations

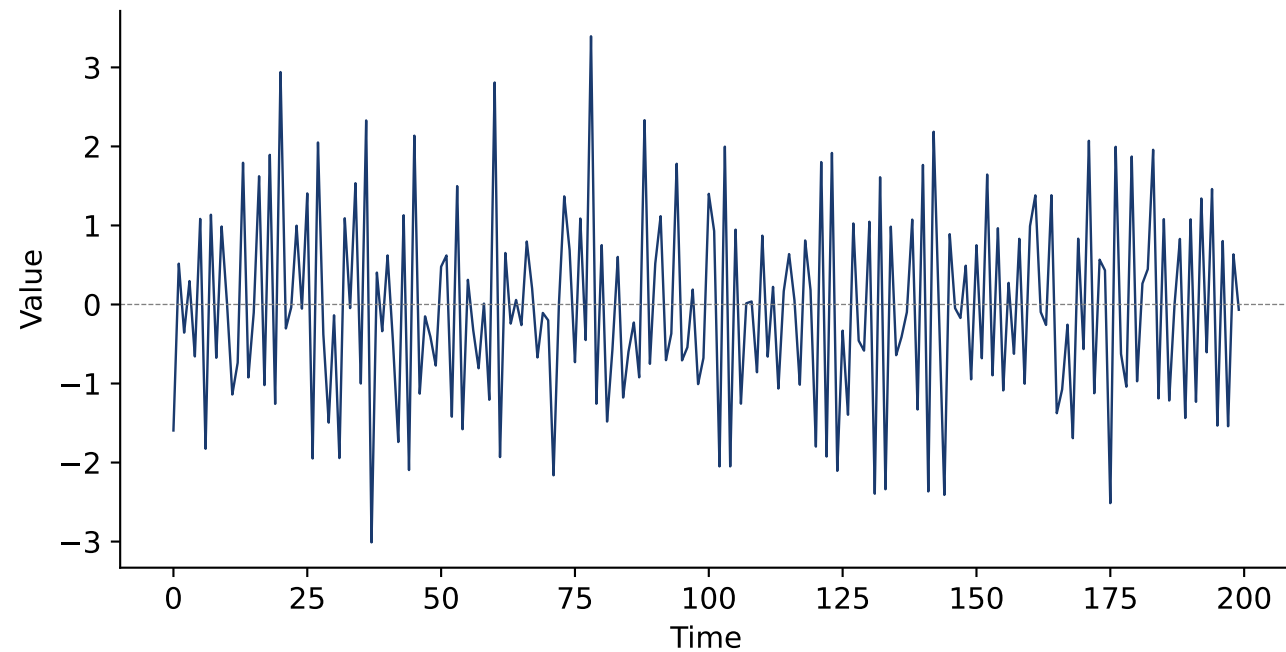
$\phi = 0.95$ — High persistence, slow mean-reversion



$\phi = 0.5$ — Moderate persistence



$\phi = -0.7$ — Negative autocorrelation (oscillating)



$\phi = 0.99$ — Near unit root (almost random walk)

